1. Compare the balances as shown in the passbook with that shown in the bank column of the cashbook.
2. Bank reconciliation statement is very helpful in detecting various types of frauds. Therefore, prepare a bank reconciliation statement as on the last day of the accounting year for ascertaining the current position of the cheques drawn by the company but not yet presented for payment or the cheques deposited by the concern but not yet cleared.
3. The auditor shall also carefully verify the post-dated cheques issued by the organisation before the end of the year and ensure that such cheques are not taken into account for the year under audit.
4. Examine that cheques issued for more than three months are treated as unpaid and the relative entries are reversed.
5. Obtain a certificate of balance in client's account as on the Balance Sheet date from the bankers.
6. When the organisation maintains accounts with more than one bank, the auditor should verify all the bank accounts individually.
7. Auditor should obtain separate certificates from the bank in respect of Fixed Deposit Account, Current Account, Savings Bank Account etc.
8. Scrutinise the fixed deposit receipts in respect of their date of issue, amount, rates of interest, date of maturity etc., and get interest accrued on deposits during the year duly adjusted.
9. If any charge created on the deposits or if the deposits made under any legal requirement, the auditor shall ensure that the fact is disclosed in the balance sheet.
10. Sometimes, due to legal restrictions one or more of the bank accounts of the organisation may be blocked. In such a case, the auditor shall ensure that the fact is disclosed in the balance sheet.

3. Stock

Stock-in-trade or Inventories is the life-blood of a business. Therefore, value of stock-in-trade has to be properly determined for ascertaining profit or loss for the year and also to disclose a true and fair financial position of the concern. Inventories or Stock-in-trade normally includes the following:

- **Raw-Materials:** Raw materials form a major input into the production. They are required to carry out production activities. For example, steel, copper, rubber, cotton, wool, timber, lime stone, coal etc.
- **Work-in-Progress:** The work in progress is that stage of stocks. Which are in between raw materials and finished goods. It means the total value of unfinished production at the end of each financial period. It is in the form of materials, which have absorbed varying amounts of labour and other overheads to reach the manufacturing stage at the time of counting of stock of work-in-progress. Work-in-progress should be shown in Balance Sheet separately and not as stock-in-trade.
- **Semi-Finished Goods:** Goods in a semi-finished condition on the date of Balance Sheet should be valued at cost of raw materials plus a reasonable proportion of factory overheads or

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